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Towards a New Monetary Order

A UNIQUE FEATURE OF THE SECOND World War was that preparations were made during the war period itself for the drawing up of comprehensive plans for international monetary cooperation in the post-war years. These efforts resulted in the establishment of the IMF and the IBRD, better known as the World Bank—institutions of which India has been a member from their inception. The Bretton Woods agreements were the first successful attempt consciously undertaken by a large group of nations to shape and control their economic relations. The stated objective of Bretton Woods was the expansion and balanced growth of international trade and the principal method used to achieve this end was the restoration of orderly exchanges between member countries: stability without rigidity and elasticity without looseness. This, it was hoped, would prevent another worldwide Depression. The painful experience of the last two decades had convinced the founding fathers of Bretton Woods that world trade could not be prosperous and that a high level of production was not possible in the face of currency disturbances and their paralyzing sequels.

SETTING THE STAGE

The purpose of the Bretton Woods Conference was to revive world trade, stabilize currencies, and to deal with war debts and frozen credit markets. It had been realized that while devaluing one's currency, erecting trade barriers, and controlling capital flows were effective in reducing balance of payments deficits and preventing outflow of gold, the adoption of these